GEOPOLITICAL TRACKING · MONTHLY, 2018 → 2026

Can we trust the monthly tracker?

Every month the system turns the world's news into a short list of developments that matter for markets, how each one moved, and how governments reacted. These five checks test whether that picture is right.

yes **Right news kept?**
About 4 in 5, twice as well as keywords

yes **Follows real conflict risk?**
Moves with the Geopolitical Risk index

partly **AI better than counting?**
Not for the monthly total, yes for the detail

yes **No peeking at the future?**
Later Wikipedia edits change little

yes **Government reactions line up?**
US trade actions follow trade uncertainty

WHAT THE TRACKER DOES EACH MONTH

Four steps turn 500 daily news lines into ten storylines

1

Collect

Every daily entry on Wikipedia's Current Events page, about 54,000 since 2018.

> Feb 2022: 543 events

2

Filter

Codex (an AI model) scores each event 0–3 for market relevance and keeps 2–3.

> Invasion of Ukraine: 3

3

Group and follow

Related events become one storyline with the same ID every month, labelled escalating, steady or easing.

> 259 events → "Russia–Ukraine war", escalating

4

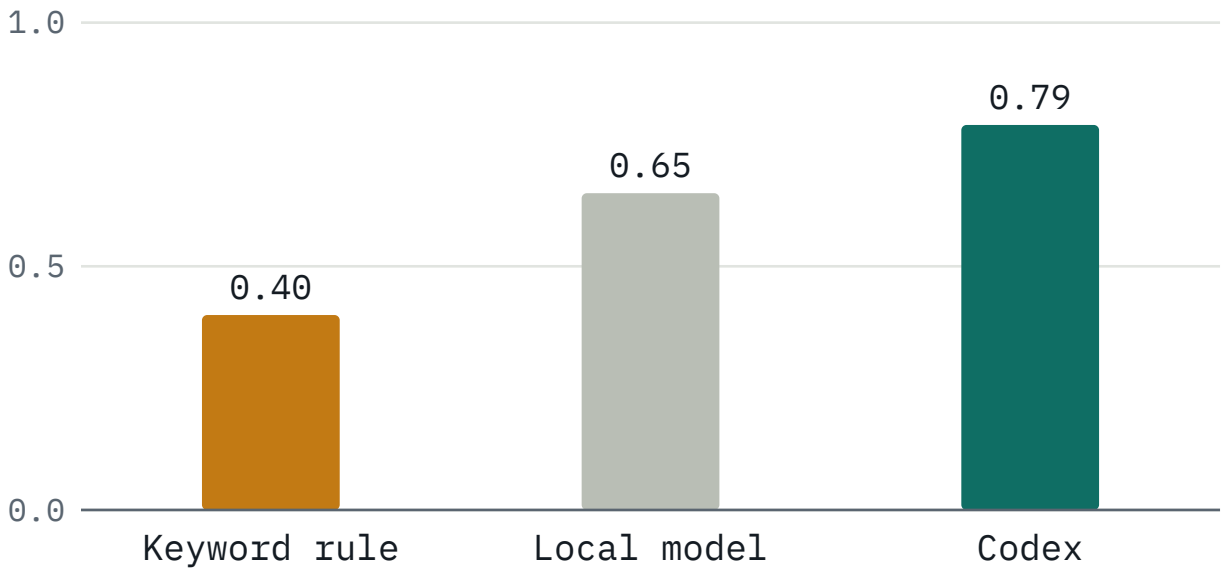
Add reactions

Official actions from the US Federal Register, EU and UK sanctions lists, and the Fed, ECB and BoE.

> 518 new EU sanctions listings

CHECK 1 · IS CODEX GIVING THE RIGHT LABELS?

Codex keeps the right news about 4 times in 5, twice as well as a keyword rule

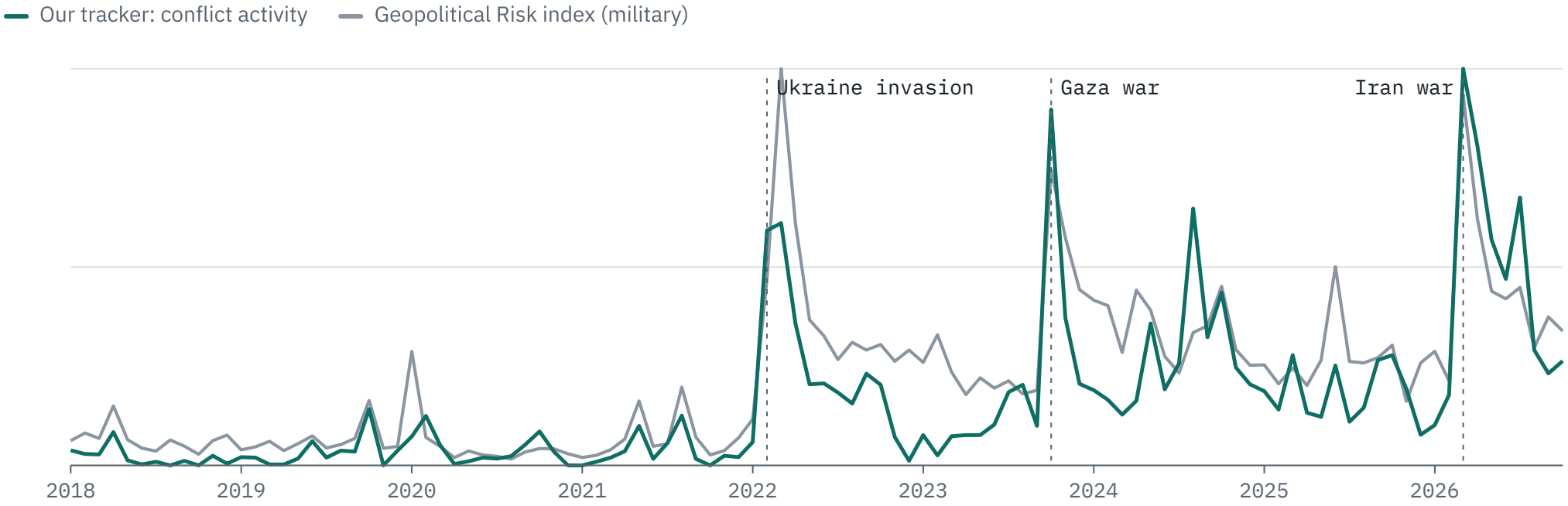


A cheaper model trained on our own computer reached 0.65, so **Codex stays as the filter**.

How it's measured. 220 news items were labelled "matters for markets" or not by a second AI (Claude). The F1 score combines two things: not missing important news, and not keeping junk. 1.0 is perfect. A human check of these labels is still to come.

CHECK 2 · DOES THE TRACKER FOLLOW REAL CONFLICT RISK?

The tracker's conflict level rises and falls with an established risk index

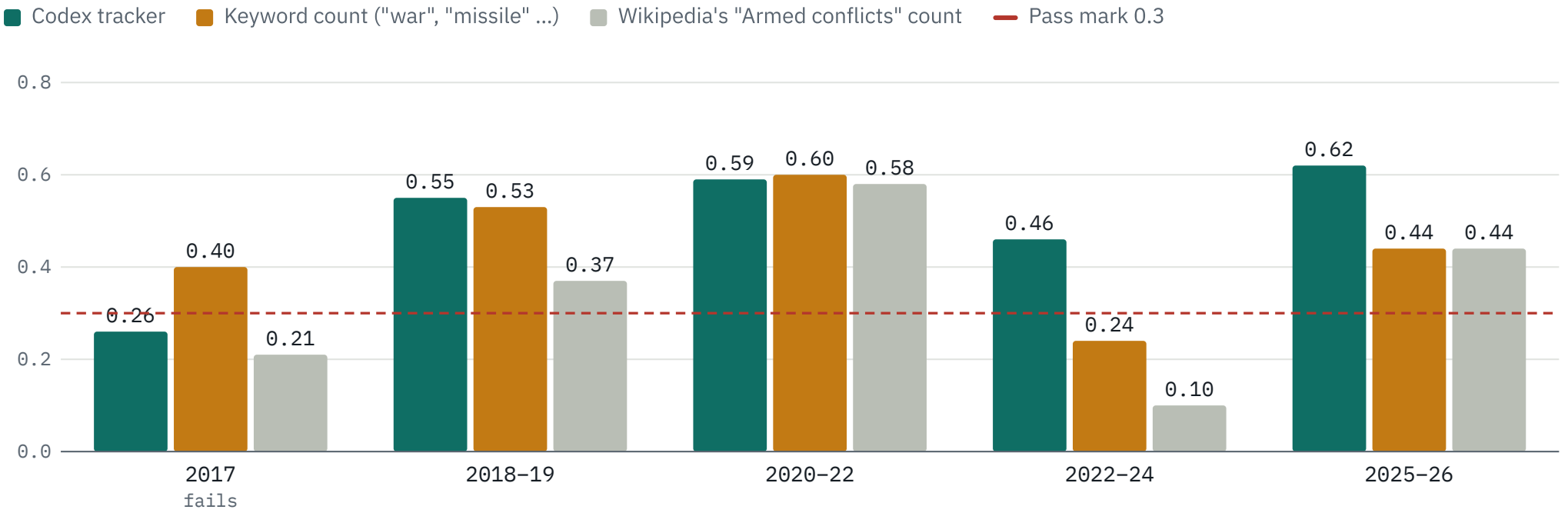


Both jump at the **Ukraine invasion**, the **Gaza war** and the **Iran war**, and stay quiet in between.

How it's measured. The Geopolitical Risk (GPR) index, from Federal Reserve economists Caldara and Iacoviello, measures how much major newspapers write about war and military threats each month. Our line is the number of conflict events the tracker kept, weighted by relevance. Each line is scaled to its own peak, so compare shapes, not heights.

CHECK 3 · IS THE AI WORTH IT OVER SIMPLE COUNTING?

For the monthly total, simple word counting is almost as good; the AI's value is in the detail

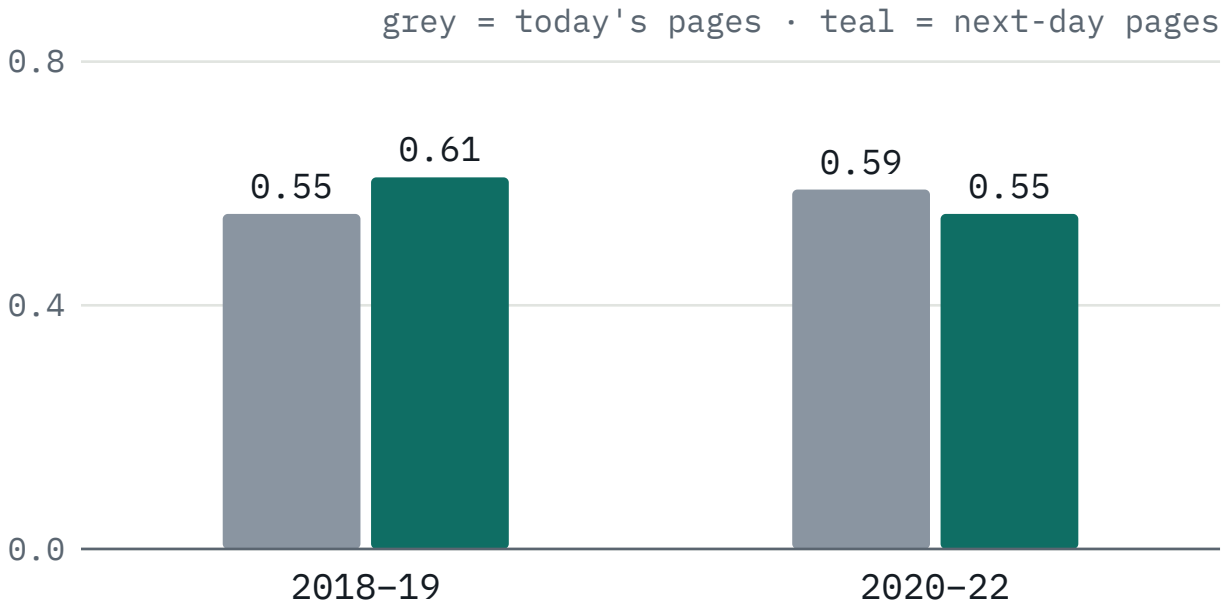


Codex passes in every period from 2018. Keyword counting comes close. What counting **cannot** give is named storylines, whether each is escalating or easing, and which government reacted.

How it's measured. For each period: when the risk index rose from one month to the next, did the method rise too? The score is a rank correlation: 1 means always in step, 0 means unrelated. The pass mark of 0.3 was written down before the test.

CHECK 4 · IS THE HISTORY TEST PEEKING AT THE FUTURE?

Using Wikipedia as it looked the next day changes the result by at most 0.06

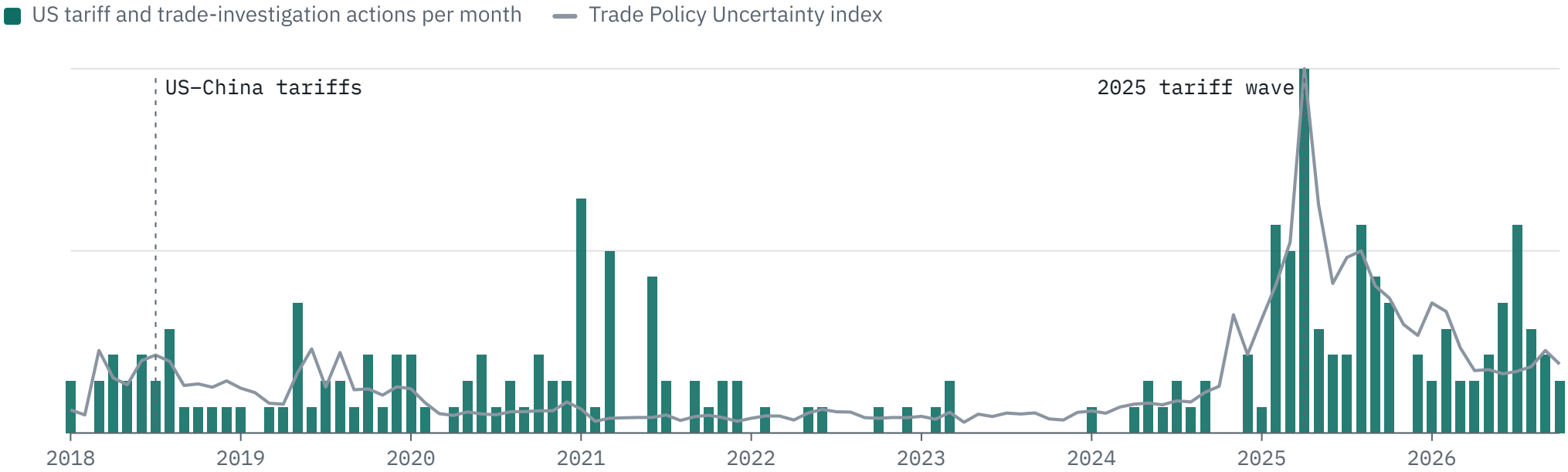


People edit Wikipedia after the event. Re-running on the version saved **the day after** each event gives the same picture, so later edits are not flattering our history.

How it's measured. Wikipedia keeps every saved version of every page. We downloaded each day's page as it stood the next day and re-ran the whole tracker. The limit, set in advance, was a change of at most 0.10.

CHECK 5 · DO GOVERNMENT REACTIONS LINE UP?

US trade actions rise when trade-policy uncertainty rises



The **2018–19 US–China trade war** and the **2025 tariff wave** show up in both. Correlation within each period: 0.42.

How it's measured. Bars count significant tariff and trade-investigation notices in the US Federal Register, the government's official daily journal (Codex sorts each notice by type). The line is the Trade Policy Uncertainty index (Caldara and colleagues, Federal Reserve), built from newspaper coverage of trade-policy worries.

SUMMARY

The tracker gets the picture right; the AI earns its place through detail

QUESTION	RESULT	VERDICT
Is Codex keeping the right news?	F1 0.79 · keywords 0.40	yes
Does a storyline keep the same identity month to month?	95% of 60 pairs	yes
Does conflict activity follow the risk index?	0.46–0.62 from 2018	yes
Is the AI better than counting for the monthly total?	only slightly	partly
Do later Wikipedia edits help?	change ≤ 0.06	no
Do US trade actions follow trade uncertainty?	0.42	yes
Are reactions linked to the right storyline?	27 of 30 checked	yes

Limits. The reference labels in Check 1 come from a second AI, not yet from people. Coverage follows Wikipedia's editors and US and European official sources.